Anaheim and Garden Grove Travel Forecast



Prepared by:

TOURISM ECONOMICS
AN OXFORD ECONOMICS COMPANY

Context

- Visit Anaheim engaged Tourism Economics, an Oxford Economics company, to prepare annual forecasts of visitor volumes and spending for both Anaheim and Garden Grove, quarterly measurements of visits and spending in each city, and projections of international visitation and spending by key source markets.
- The analysis relies on:
    - Data regarding historic visitor volume and spending from Visit Anaheim;
    - STR hotel data through July 2026;
    - Global Travel Service (GTS) forecast, June 2026 update;
    - Global City Travel (GCT) forecast, July 2026 update;
    - Price, employment, and wage data, by industry, from the Bureau of Economic Analysis and Bureau of Labor Statistics;
    - Air passenger data for John Wayne Airport from OAG;
    - Azira mobile geolocation data for Anaheim and Garden Grove;
    - Local economic outlook, including GDP, personal disposable income, unemployment, population, and household income from Oxford Economics; and,
    - Assumptions on the future path of tourism sector recovery
- Due to standard forecast variability, future performance may vary from the estimates presented in this forecast. This forecast reflects data available through August 31, 2026.

1 Key Findings

2 US Economic Outlook

3 Anaheim Forecast Details

4 Garden Grove Forecast Details

5 International Forecast Details

Key Findings - Anaheim

Total visitor volume

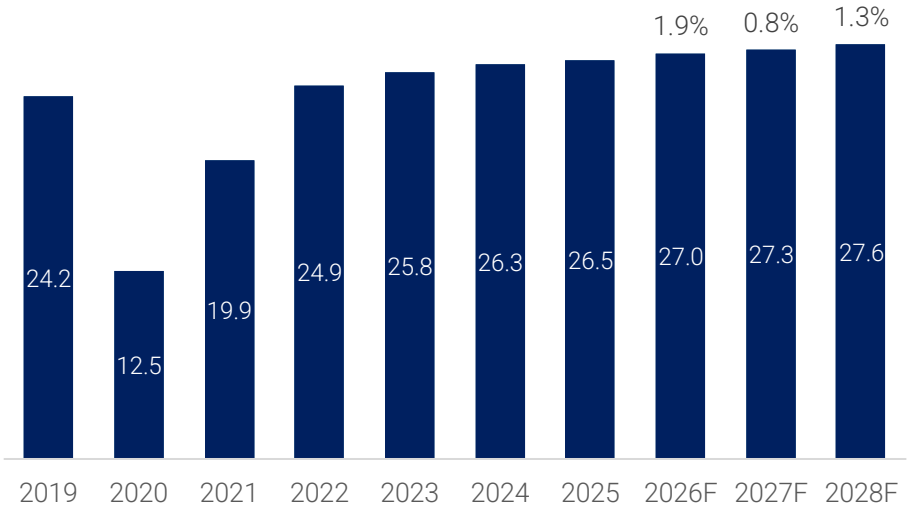
Anaheim is projected to see 27.0 million visitors in 2026, a 1.9% increase over the previous year.

Total visitor spending

Visitor spending in Anaheim is expected to reach $7.2 billion in 2026, growing 5.6% from the prior year.

Total visits to Anaheim

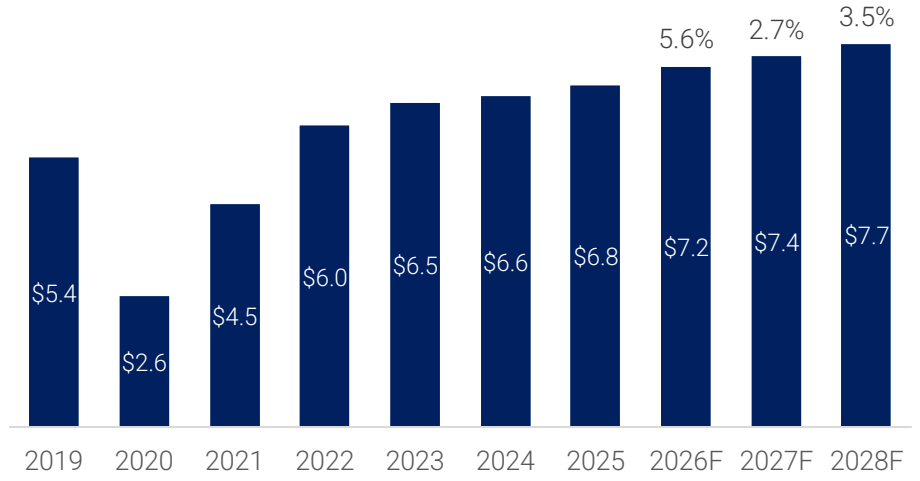
millions



Source: Tourism Economics

Total visitor spending in Anaheim

$ billions



Source: Tourism Economics

Key Findings – Garden Grove

Total visitor volume

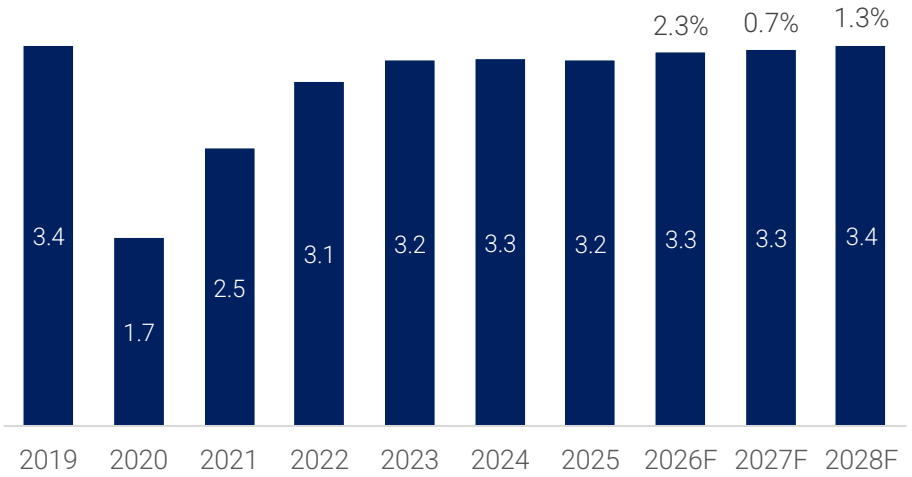
3.3 million people are expected to visit Garden Grove in 2026, up 2.3% from the prior year.

Total visitor spending

Visitor spending is expected to reach $806 million in Garden Grove in 2026, representing a 5.1% increase over the previous year.

Total visits to Garden Grove

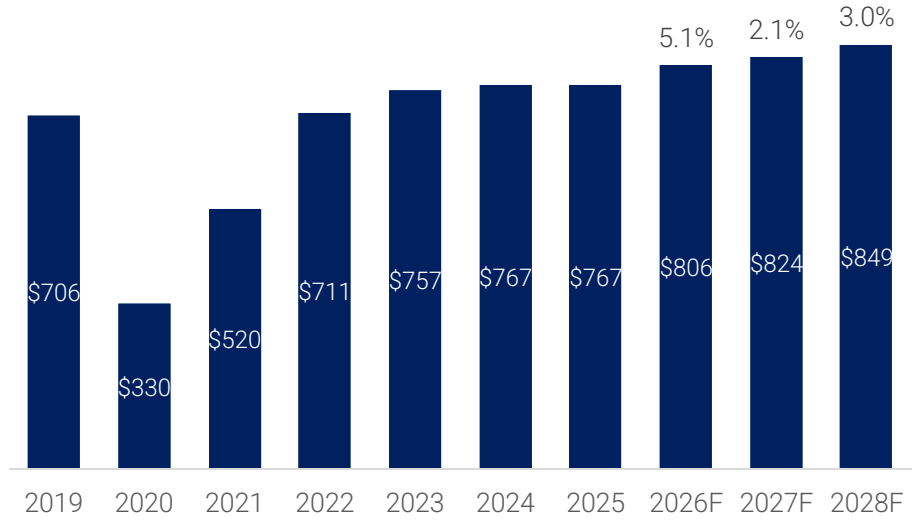
millions



Source: Tourism Economics

Total visitor spending in Garden Grove

$ millions



Source: Tourism Economics

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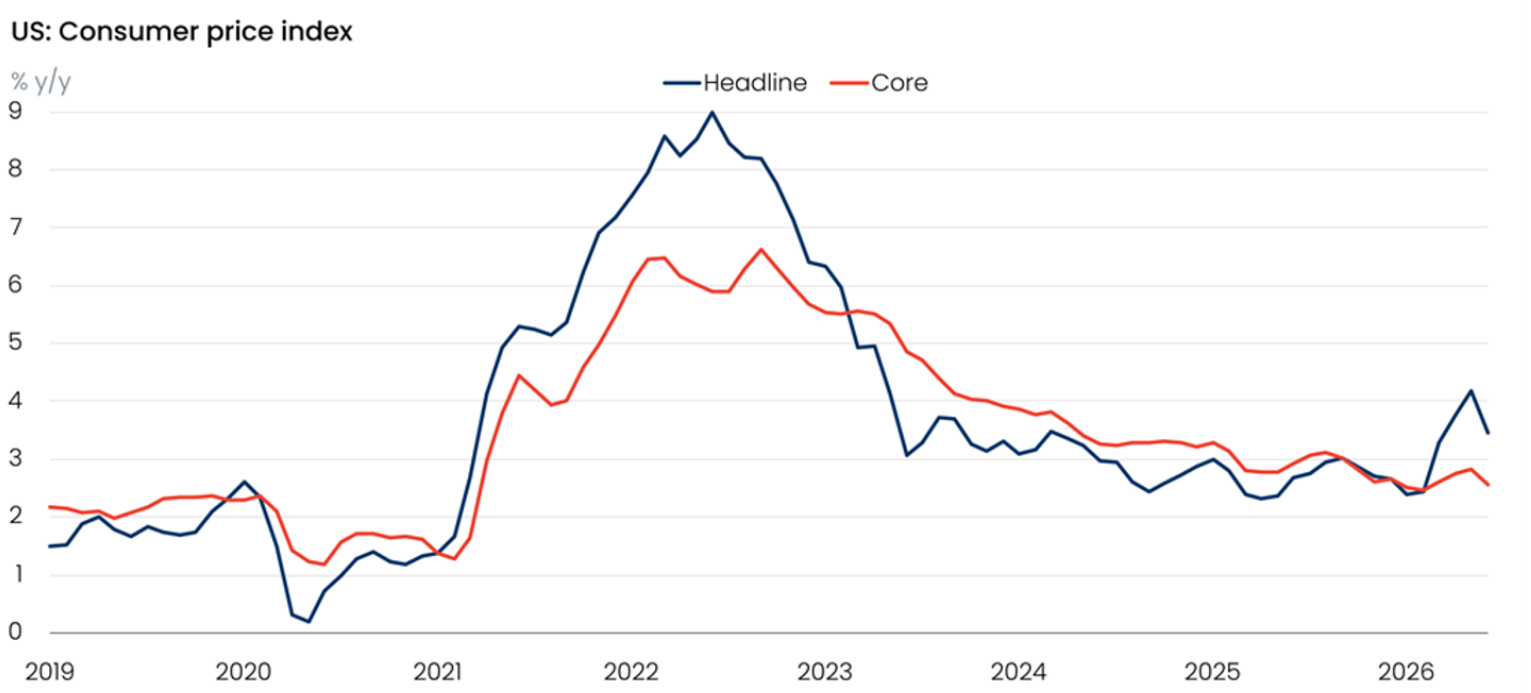
US Economy

Labor market appears solid but inflation to remain elevated for a prolonged period

- Economic data from the second quarter indicates the economy remains on solid ground. Lower oil prices will reduce the drag on real incomes over the second half of the year, and consumer spending will continue to grow, supported by a job market that's broadly in balance.
- Both the headline and core CPI in July were benign enough to reinforce our baseline forecast for a prolonged pause by the Federal Reserve over the remainder of the year.
    - The Federal Reserve is worried about a broadening out of inflationary pressures across goods and services, and that hasn't been evident in the recent inflation data.
- Gas prices have retreated from their peaks earlier this year, good news for consumers, as it will ease the pinch on wallets. Due to the war-induced surge in gas prices from March through May, inflation outpaced wage growth, leading to a drop in real earnings. That trend reversed last month with the plunge in gas prices lifting real earnings for the first time since January.
    - The modest slowdown in inflation is welcome, but prices are still eroding the purchasing power of the working class that relies on paychecks to sustain spending.
- Job gains have slowed over the past three months and turned negative in July. The drop was driven by a decline in state and local government jobs that should reverse by fall; private sector employment posted a modest gain in July.
- With the labor market stuck in a no-hire, no-fire stasis, the Federal Reserve will likely look for signs that inflation is easing before making its next move. There are no signs that the economy needs help from a looser policy, and the Fed is expected to stay on the sidelines for a prolonged period of time. The Fed's next move is likely to be a cut in interest rates, but the timing has been pushed back to Q3 2027.
- While economic conditions are broadly positive, conditions at the household level remain differentiated by income. Thus, the K-shaped economy remains a key economic theme. Wealthier households, boosted by roughly $9 trillion in Q1 stock market gains, are propping up discretionary spending.
- On the other hand, lower- and middle-income consumers face depleted savings, rising delinquencies, tightening bank lending standards, and falling real wages.
- The pressures on lower- and middle-income households mean consumer spending is increasingly reliant on higher-income consumers. A pullback in the stock market would change conditions for those households, posing some risk to the outlook for consumer spending.

US Economy

Higher gas prices lift inflation

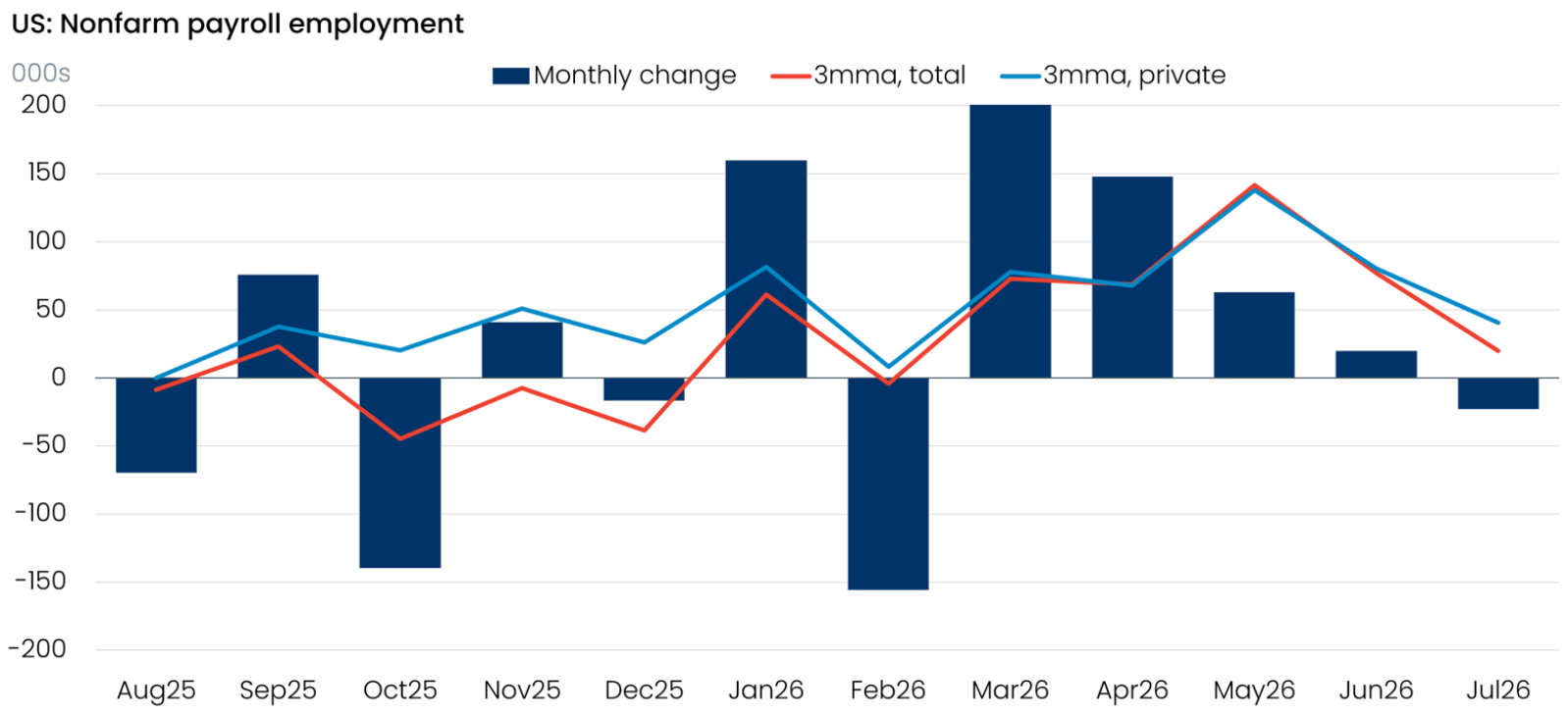


Inflation likely peaked in May, but it will decline only slowly, and its retreat will be slow enough to keep the Federal Reserve on hold for an extended period.

Source: Oxford Economics, Haver Analytics

US Economy

Job growth exceeding expectations in 2026



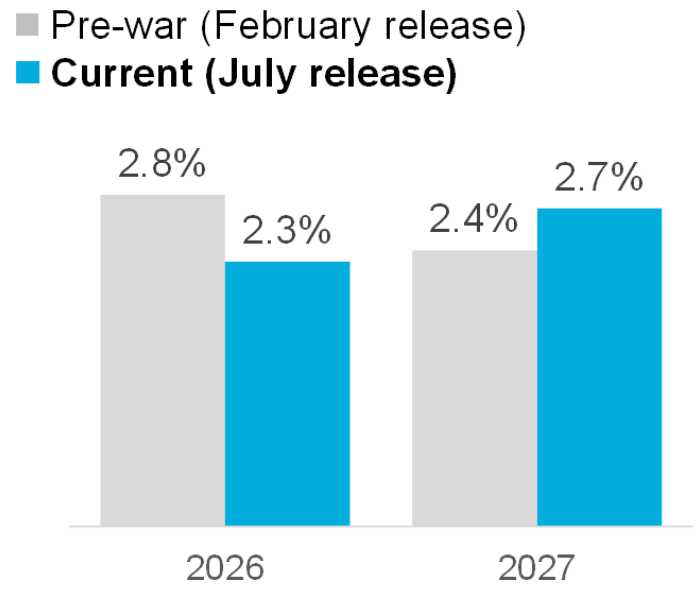
July payroll growth fell into negative territory, but the drop was driven by a seasonal 50,000 decline in state and local government jobs that should reverse by fall.

Source: Oxford Economics, Haver Analytics

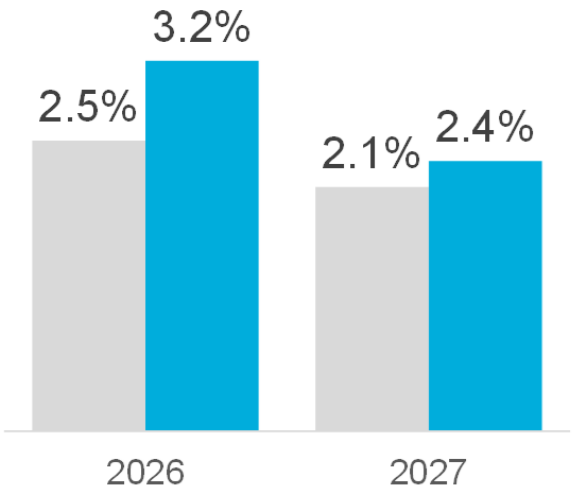
US Economy

Slower in 2026 but improvements in 2027

GDP, US



Inflation, US



Note: Annual growth. Real GDP. Inflation measured by CPI. Source: Oxford Economics

Key risks to watch for include:

- a correction in equity markets, which could undermine spending by higher-income households
- a pickup in layoffs, which would be the catalyst for a more serious weakening in the economy

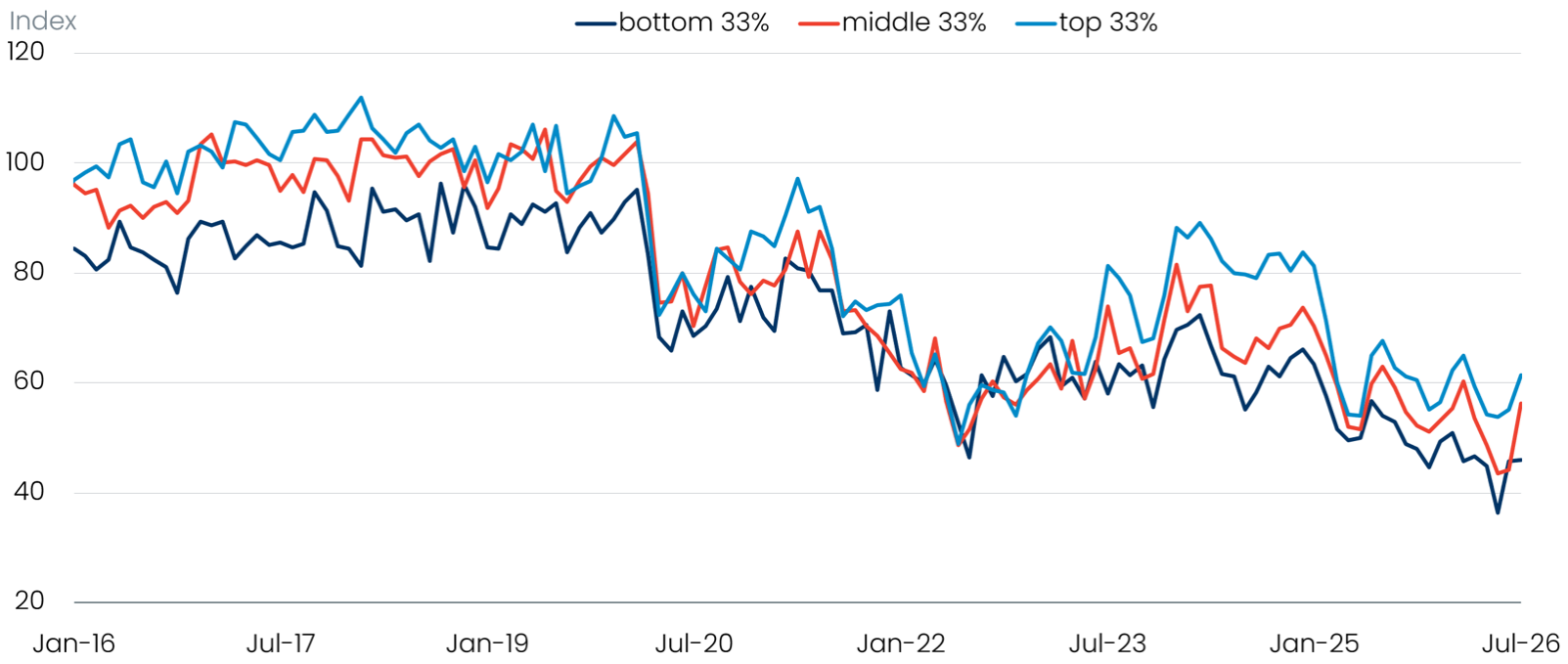
Potential Triggers:

- Prolonged Iran conflict
- Reignited trade war
- Tech downturn

US Economy

Consumer sentiment bounces off recent lows

US: Headline consumer sentiment by income group



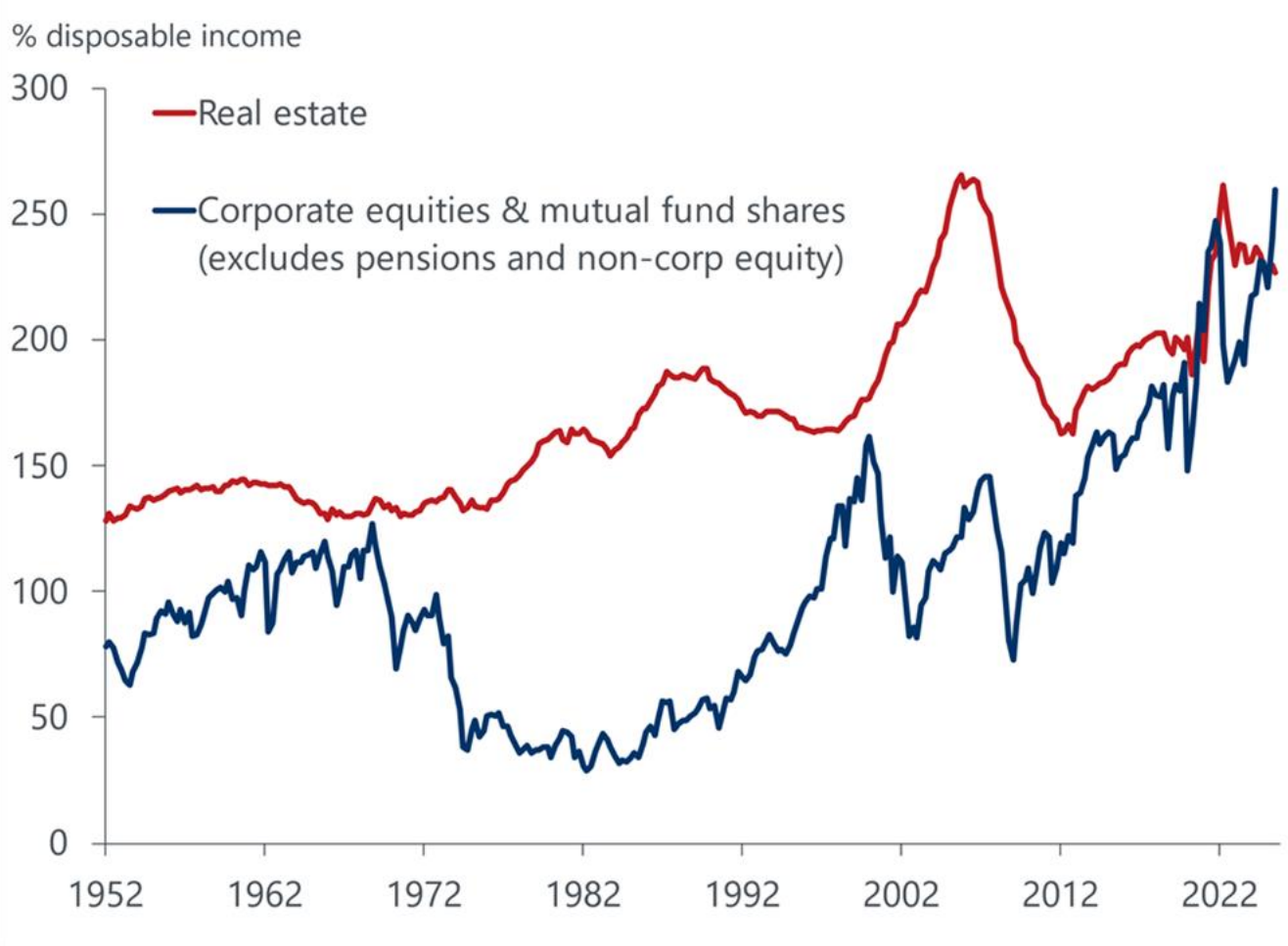
The University of Michigan's consumer sentiment index hit an all-time low in May due to the rise in gas prices and concern over the economic risks from the conflict in Iran.

Falling gas prices have offered some relief, yet sentiment remains depressed compared to its pre-way levels.

However, the correlation between sentiment and spending has weakened in recent years as spending has been supported by pandemic-era stimulus, wealth effects, and, more recently, larger-than-usual tax refunds.

US Economy

Wealth effects support consumer spending



Source: Oxford Economics, Haver Analytics

Stock market wealth is at a record high relative to household incomes.

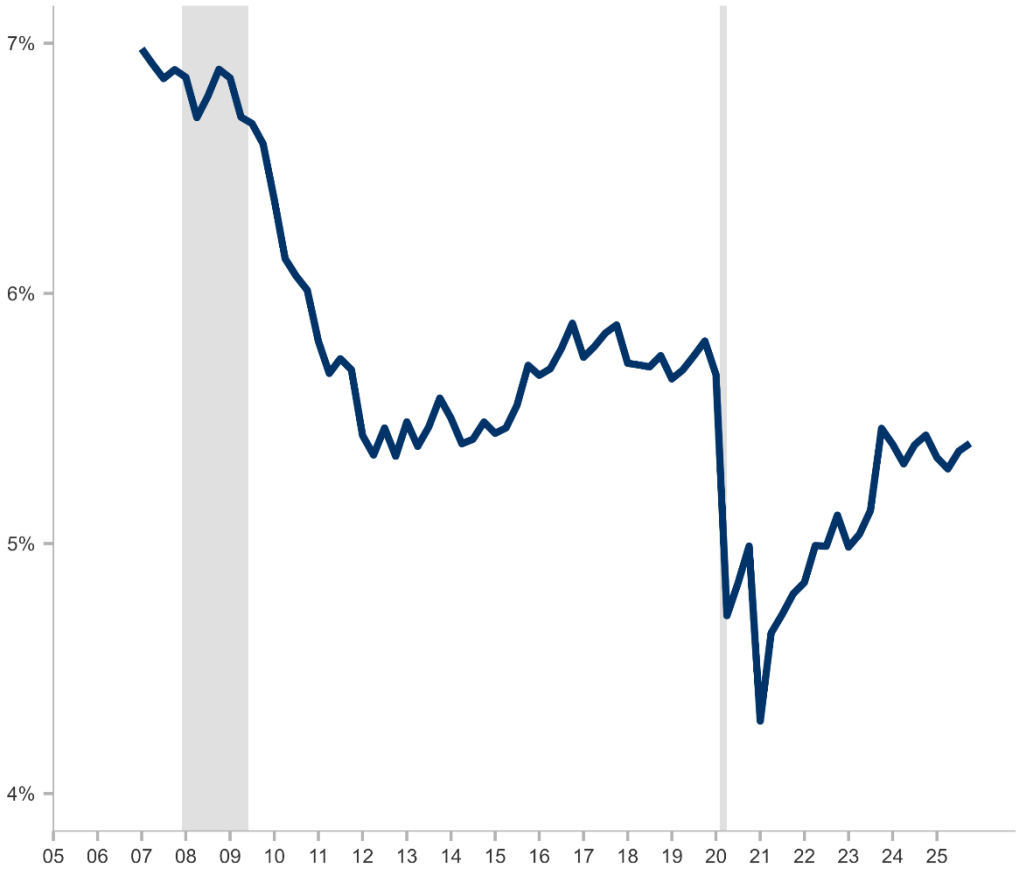
A severe correction in equity markets could undermine spending from higher-income households, which would raise concerns about a more serious weakening in the economy.

US Economy

Household balance sheets are healthy

Consumer debt service payments

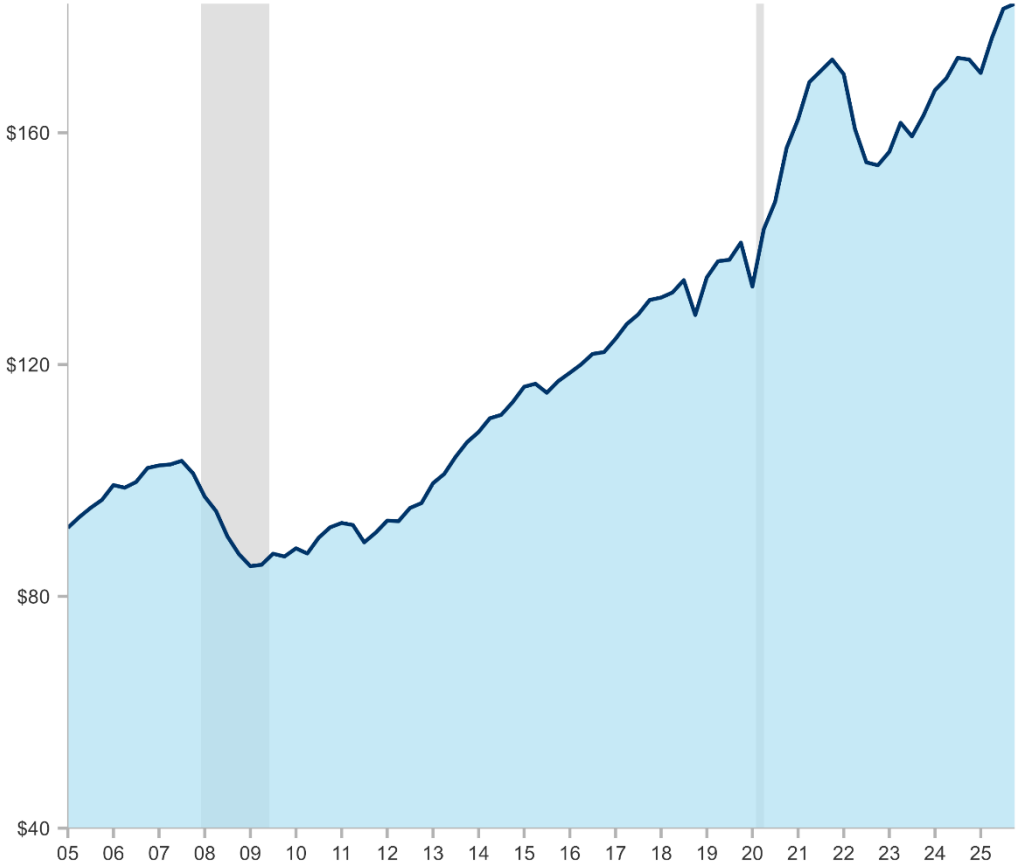
As percent of disposable personal income



Note: Quarterly data through 2025Q4. Consumer debt service payments ratio is ratio of total required household debt payment to disposable income. Source: Federal Reserve, NBER

Household net worth

In trillions, real



Note: 2025 dollars. Quarterly data through 2025Q4. Net worth of households and nonprofit organizations. Measures housing and financial assets, minus liabilities. Source: Federal Reserve, NBER

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Anaheim Quarterly Trends

Anaheim saw 6.74 million visitors in the second quarter of 2026, up 2.8% year-over-year. Overnight visitation remained the primary source of growth, rising 4.5% from year-earlier levels, while day visitation increased a more modest 2.1%.

Visitor spending reached $1.76 billion in the second quarter of 2026, 7.8% above year-earlier levels. Continued price increases contributed to the gain, with average daily room rates (ADR) nearly 9% higher than in the second quarter of 2025.

13.1 million visitors spent $3.5 billion in the Anaheim economy during the first half of 2026, increases of 3.1% and 7.5%, respectively, from the same period last year.

Total visitors to Anaheim

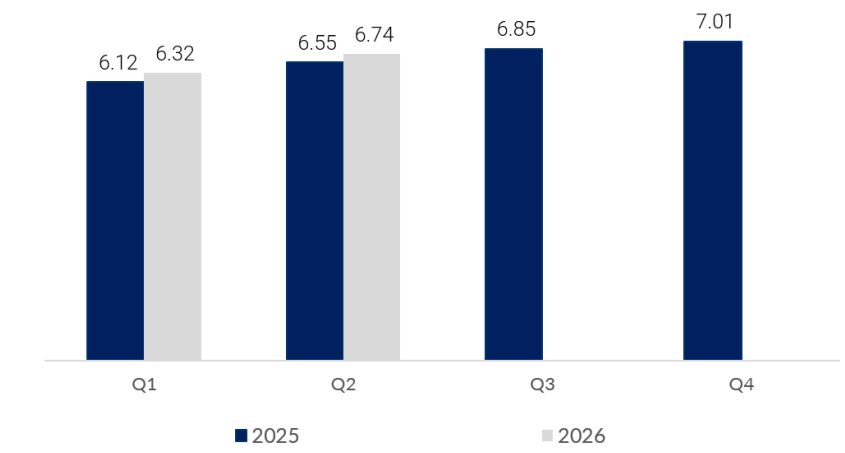
millions

	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4
Total visits	**6.12**	**6.55**	**6.85**	**7.01**	**6.32**	**6.74**		
Day	4.08	4.44	4.64	4.75	4.17	4.53		
Overnight	2.04	2.11	2.21	2.26	2.15	2.21		
Total travel spending ($ billions)	**$1.61**	**$1.63**	**$1.71**	**$1.87**	**$1.72**	**$1.76**		

Source: Tourism Economics

Anaheim Quarterly Visitor Volume

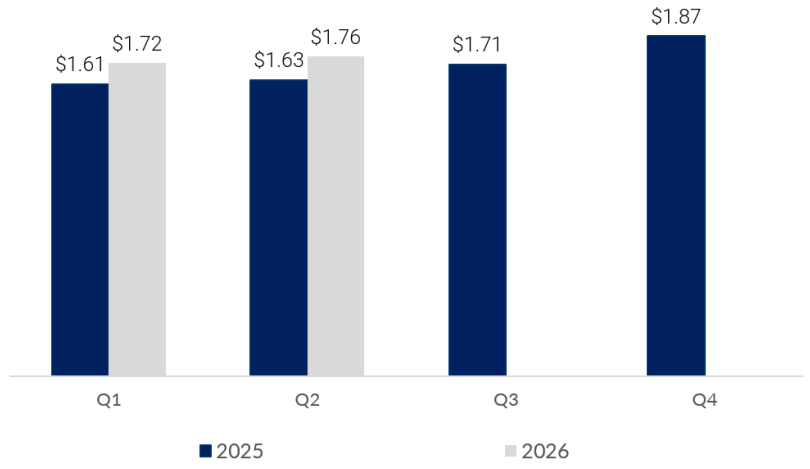
millions



Source: Tourism Economics

Anaheim Quarterly Visitor Spending

$ billions



Source: Tourism Economics

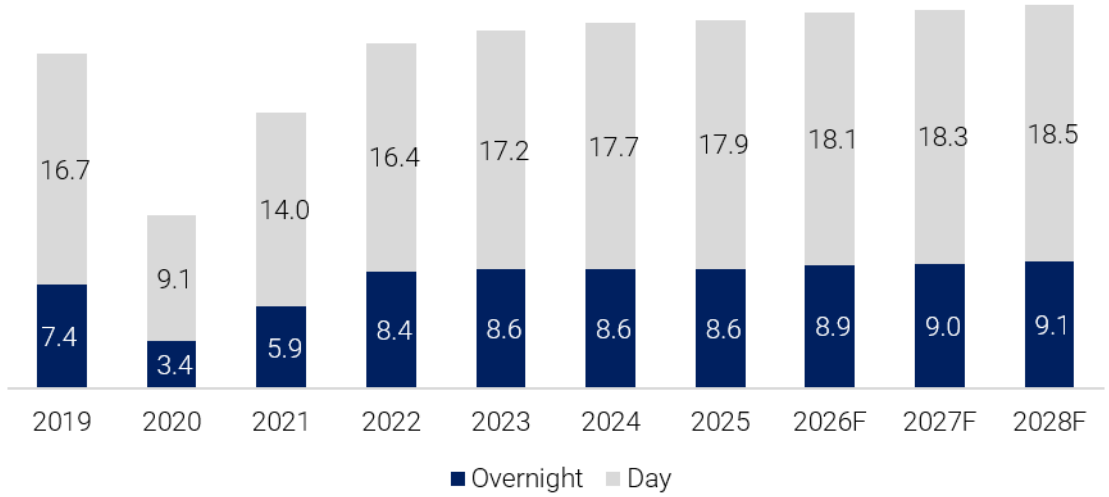
TOURISM ECONOMICS

Anaheim Visitor Forecast

- Visitor volume is projected to reach 27.6 million by 2028, increasing at an average annual rate of 1.3% from 2026-2028.
- Overnight visitation is expected to lead overall growth, rising an average of 1.9% annually over the forecast period.

Day vs. overnight visitors in Anaheim

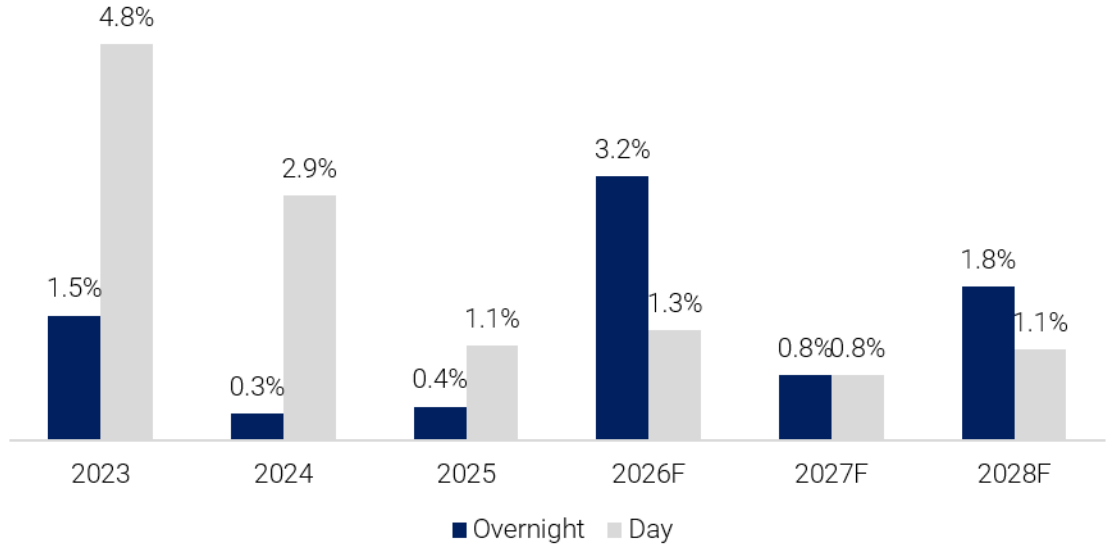
millions



Source: Tourism Economics

Percentage change in visitors to Anaheim

year-over-year percent change



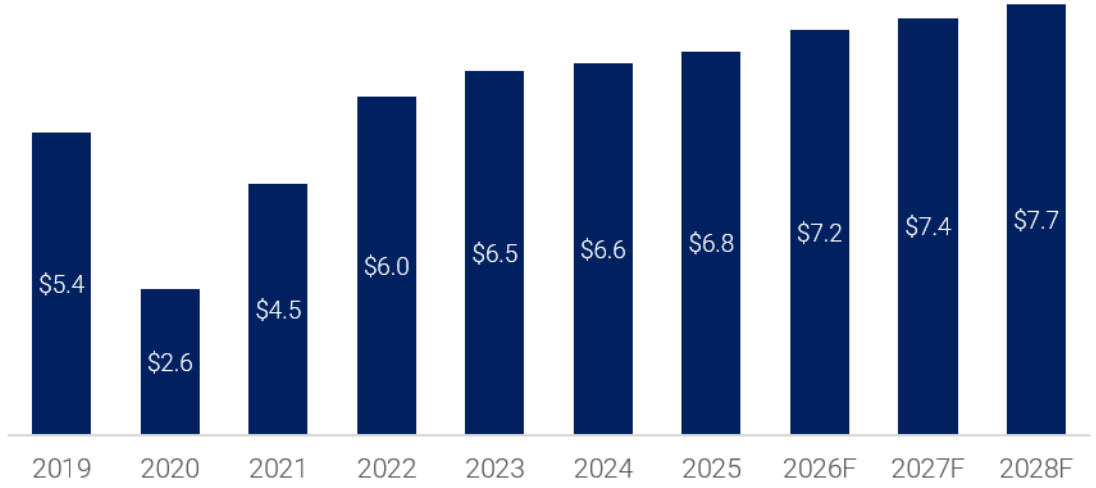
Source: Tourism Economics

Anaheim Visitor Spending Forecast

- Visitor spending is forecast to reach $7.7 billion by 2028, growing at an average annual rate of 3.9% over the forecast period.

Total visitor spending in Anaheim

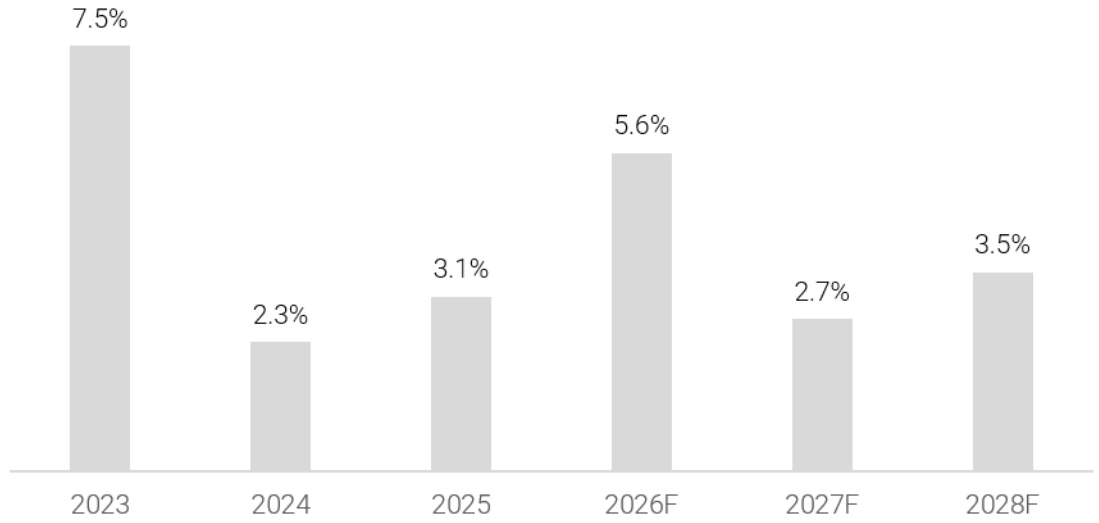
$ billions



Source: Tourism Economics

Percentage change in visitor spending in Anaheim

year-over-year percent change



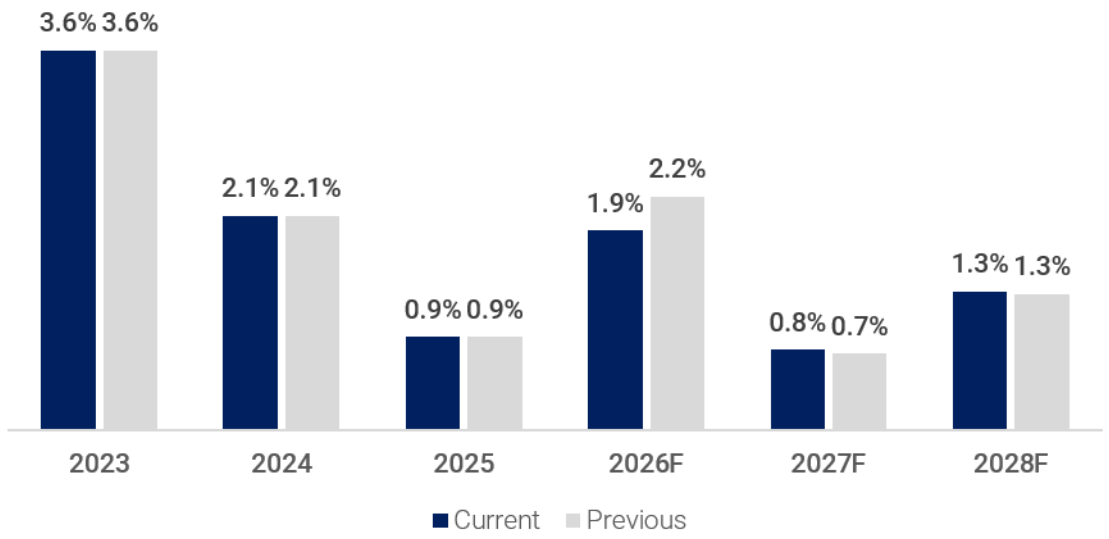
Source: Tourism Economics

Anaheim Forecast Comparison

- The latest forecast projects slightly lower visitation and spending in 2026 compared with the previous update, while the outlook for growth in subsequent years remains relatively unchanged.

Percentage change in visitors to Anaheim

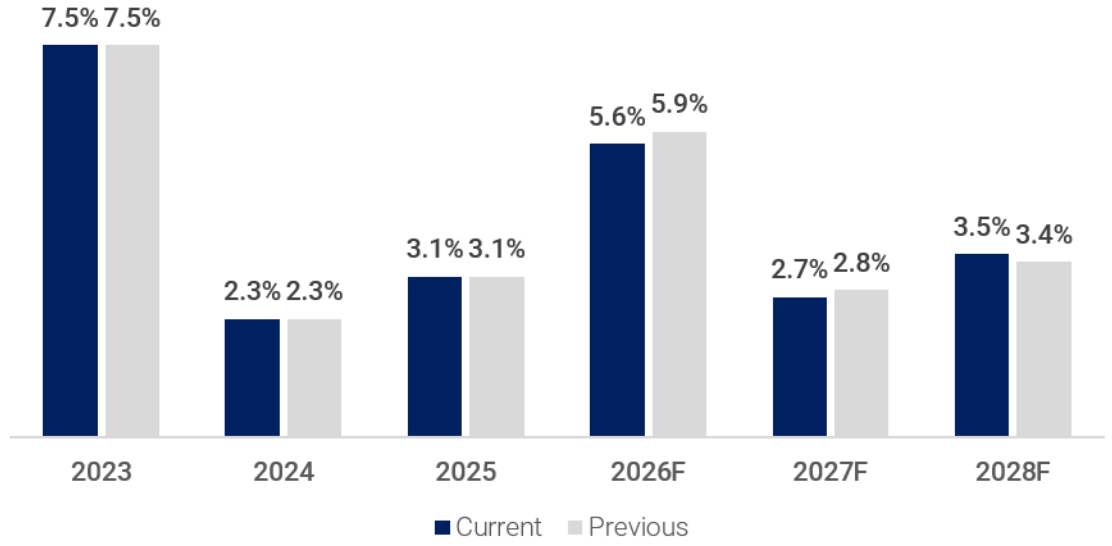
year-over-year percent change



Source: Tourism Economics

Percentage change in visitor spending in Anaheim

year-over-year percent change



Source: Tourism Economics

Anaheim Visitor Forecast

Total visitors to Anaheim

millions

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits	**24.2**	**12.5**	**19.9**	**24.9**	**25.8**	**26.3**	**26.5**	**27.0**	**27.3**	**27.6**
Day	16.7	9.1	14.0	16.4	17.2	17.7	17.9	18.1	18.3	18.5
Overnight	7.4	3.4	5.9	8.4	8.6	8.6	8.6	8.9	9.0	9.1
Total travel spending ($ billions)	**$5.4**	**$2.6**	**$4.5**	**$6.0**	**$6.5**	**$6.6**	**$6.8**	**$7.2**	**$7.4**	**$7.7**

Source: Tourism Economics

Total visitors to Anaheim

year-over-year percent change

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits		**-48.3%**	**59.2%**	**25.0%**	**3.6%**	**2.1%**	**0.9%**	**1.9%**	**0.8%**	**1.3%**
Day		-45.5%	53.6%	17.3%	4.8%	2.9%	1.1%	1.3%	0.8%	1.1%
Overnight		-54.5%	74.2%	43.1%	1.5%	0.3%	0.4%	3.2%	0.8%	1.8%
Total travel spending		**-51.6%**	**71.6%**	**34.8%**	**7.5%**	**2.3%**	**3.1%**	**5.6%**	**2.7%**	**3.5%**

Source: Tourism Economics

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Garden Grove Quarterly Trends

Garden Grove recorded 831,000 visitors in the second quarter of 2026, an increase of 3.4% from a year earlier. Overnight visitation was the primary driver of growth, rising more than 5%, while day visitation posted a steadier 1.9% increase.

Visitor spending reached $200.4 million in the second quarter, up 7.1% year-over-year. Continued increases in travel prices supported spending growth, with gains in average daily room rates (ADR) providing an additional boost.

1.6 million visitors spent just over $398 million in the Garden Grove economy during the first half of 2026, increases of 3.8% and 6.8%, respectively, from the same period last year.

Total visitors to Garden Grove

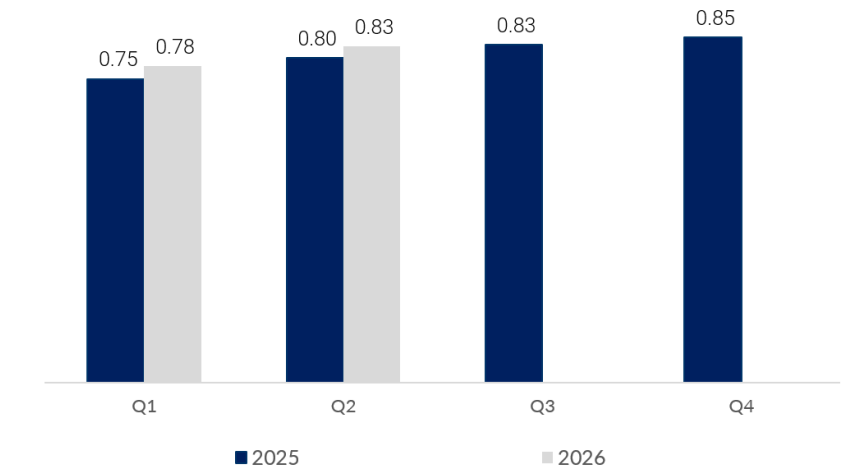
millions

	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4
Total visits	**0.75**	**0.80**	**0.83**	**0.85**	**0.78**	**0.83**		
Day	0.41	0.45	0.47	0.48	0.42	0.46		
Overnight	0.34	0.35	0.37	0.37	0.36	0.37		
Total travel spending ($ millions)	**$185.6**	**$187.1**	**$195.4**	**$199.4**	**$197.7**	**$200.4**		

Source: Tourism Economics

Garden Grove Quarterly Visitor Volume

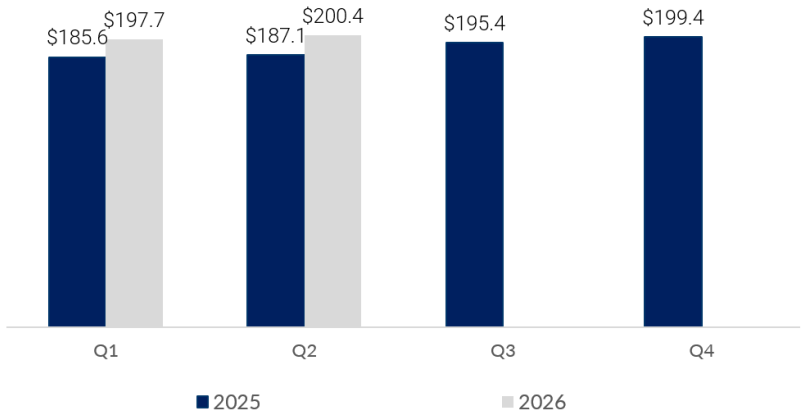
millions



Source: Tourism Economics

Garden Grove Quarterly Visitor Spending

$ millions



Source: Tourism Economics

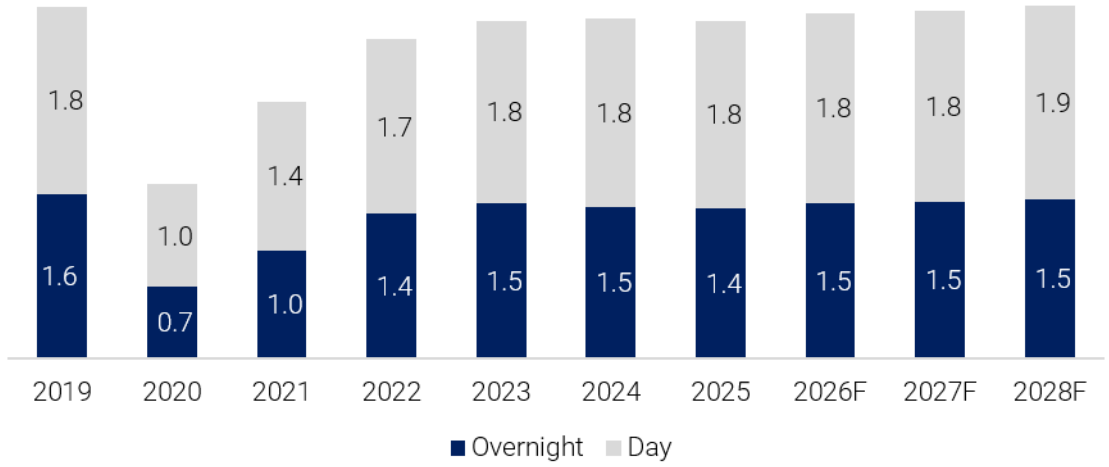
TOURISM ECONOMICS

Garden Grove Visitor Forecast

- Visitor volume is projected to reach 3.4 million by 2028, with continued growth across both the day and overnight segments. Overall visitation is expected to increase at an average annual rate of 1.4% between 2026 and 2028.
- Overnight visitation is expected to drive most of the growth, expanding at an average rate of 1.9% per year over the forecast period.

Day vs. overnight visitors in Garden Grove

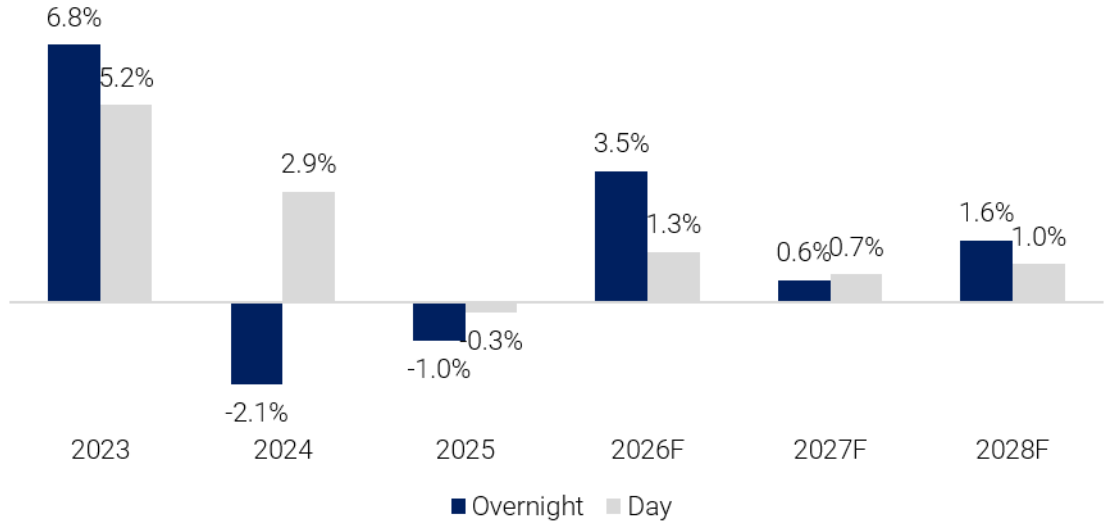
millions



Source: Tourism Economics

Percentage change in visitors to Garden Grove

year-over-year percent change



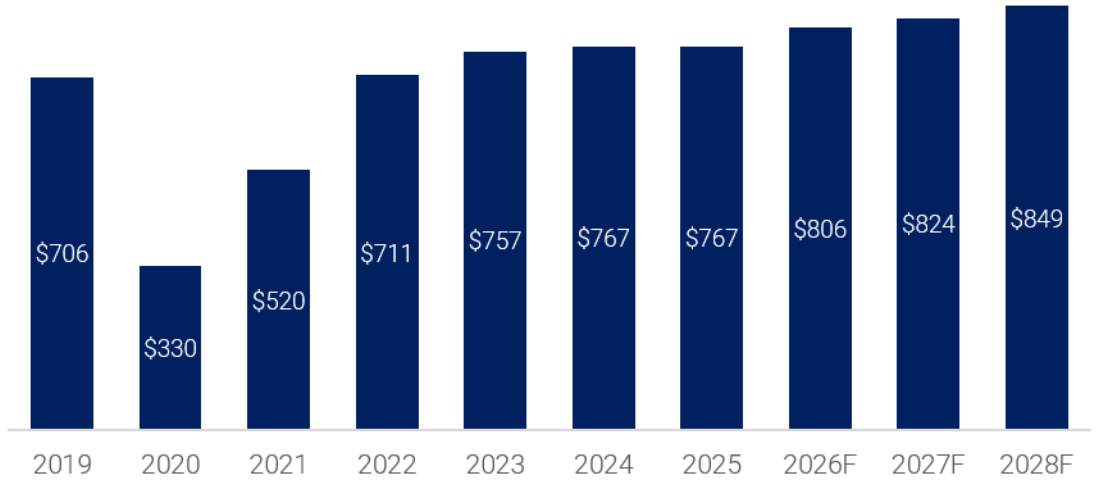
Source: Tourism Economics

Garden Grove Visitor Spending Forecast

- Visitor spending is projected to reach $849 million by 2028, growing at an average annual rate of 3.4% over the forecast period.

Total visitor spending in Garden Grove

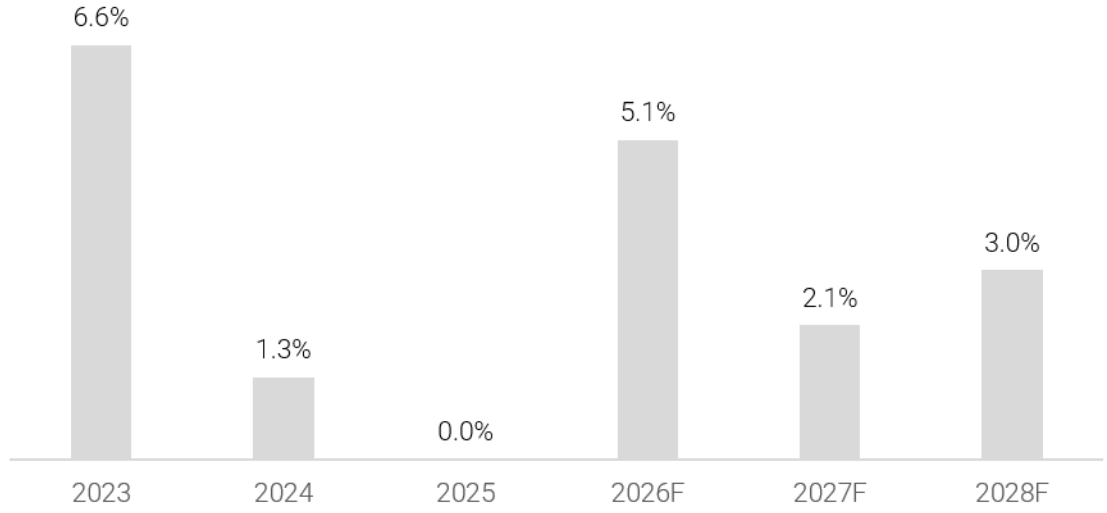
$ millions



Source: Tourism Economics

Percentage change in visitor spending in Garden Grove

year-over-year percent change



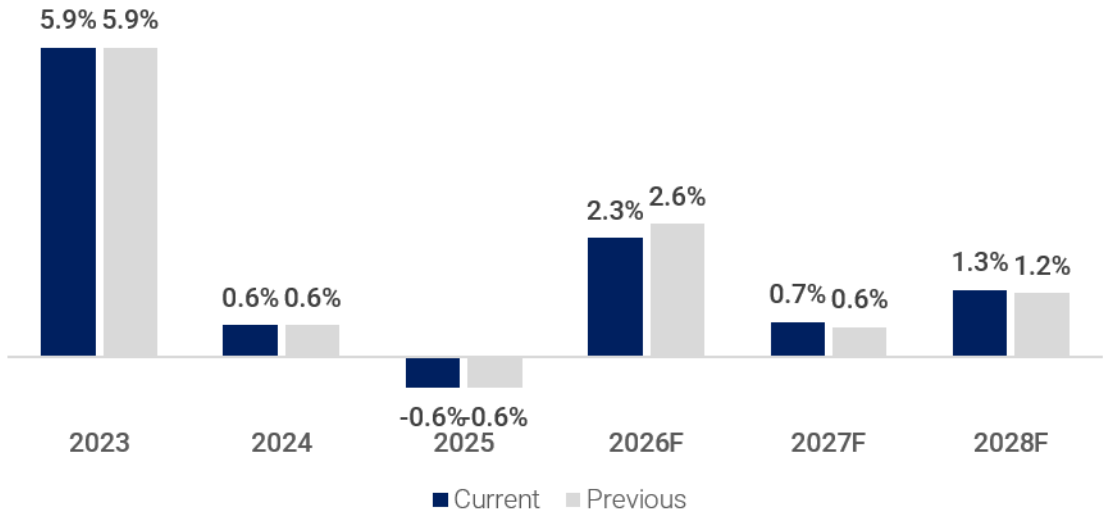
Source: Tourism Economics

Garden Grove Forecast Comparison

- Compared to the previous forecast, expectations for both visitation and spending have moderated slightly for 2026, while growth in subsequent years remains relatively unchanged.

Percentage change in visitors to Garden Grove

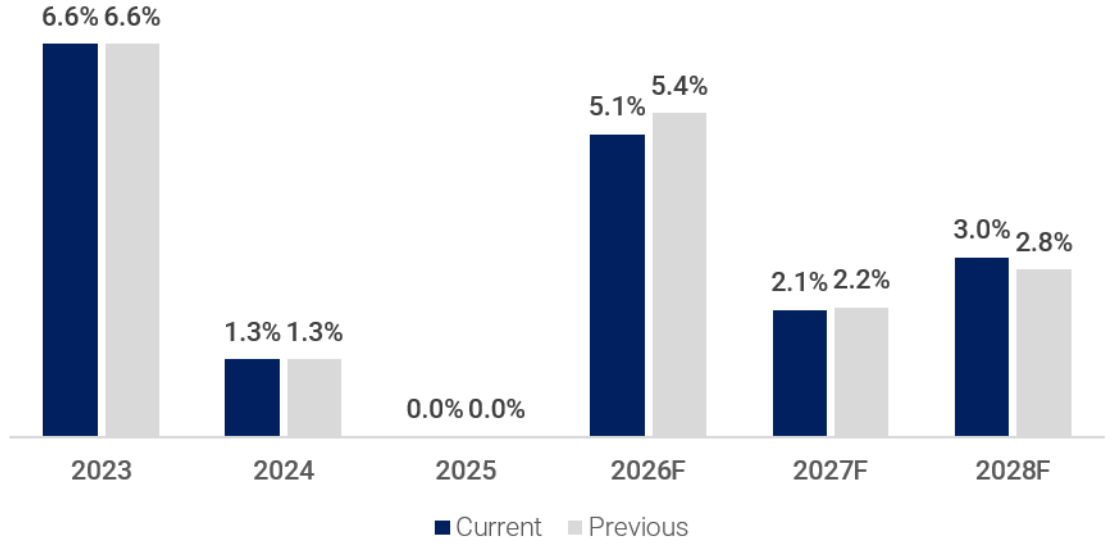
year-over-year percent change



Source: Tourism Economics

Percentage change in visitor spending in Garden Grove

year-over-year percent change



Source: Tourism Economics

Garden Grove Visitor Forecast

Total visitors to Garden Grove

millions

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits	**3.38**	**1.67**	**2.46**	**3.06**	**3.24**	**3.26**	**3.24**	**3.31**	**3.34**	**3.38**
Day	1.80	0.98	1.43	1.67	1.76	1.81	1.80	1.83	1.84	1.86
Overnight	1.57	0.69	1.03	1.39	1.48	1.45	1.44	1.49	1.50	1.52
Total travel spending ($ millions)	**$705.8**	**$330.1**	**$520.2**	**$710.5**	**$757.4**	**$767.3**	**$767.4**	**$806.4**	**$823.7**	**$848.6**

Source: Tourism Economics

Total visitors to Garden Grove

year-over-year percent change

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total visits		**-50.5%**	**47.3%**	**24.4%**	**5.9%**	**0.6%**	**-0.6%**	**2.3%**	**0.7%**	**1.3%**
Day		-45.5%	45.1%	17.1%	5.2%	2.9%	-0.3%	1.3%	0.7%	1.0%
Overnight		-56.3%	50.4%	34.5%	6.8%	-2.1%	-1.0%	3.5%	0.6%	1.6%
Total travel spending		**-53.2%**	**57.6%**	**36.6%**	**6.6%**	**1.3%**	**0.0%**	**5.1%**	**2.1%**	**3.0%**

Source: Tourism Economics

1 Key Findings

2 US Economic Outlook

3 Anaheim Forecast Details

4 Garden Grove Forecast Details

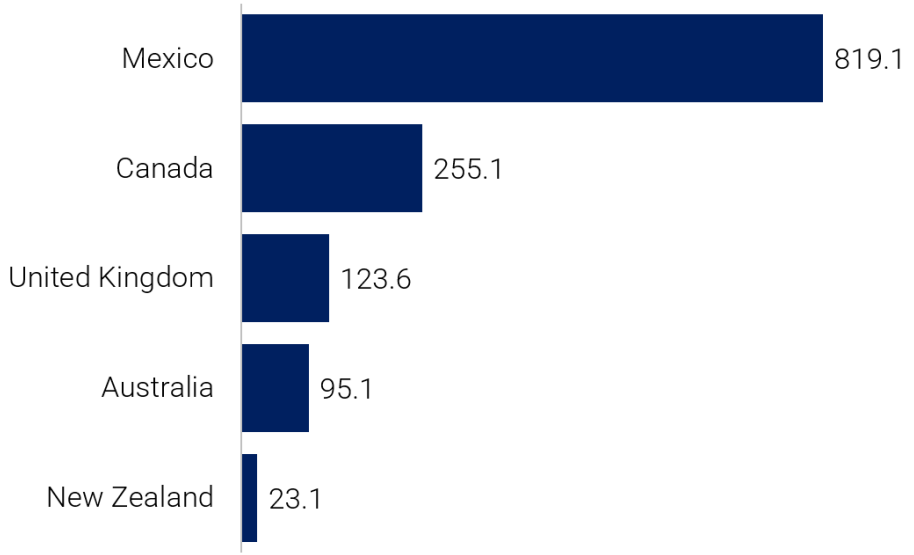
5 International Forecast Details

Anaheim and Garden Grove International Visitation

- International visitation to Anaheim and Garden Grove is expected to total 2.2 million in 2026 and generate $2.8 billion in visitor spending, representing increases of 1.0% and 1.8%, respectively, from the previous year. Mexico will account for much of the growth, with visitation rising 6.9% and visitor spending increasing 9.9%.

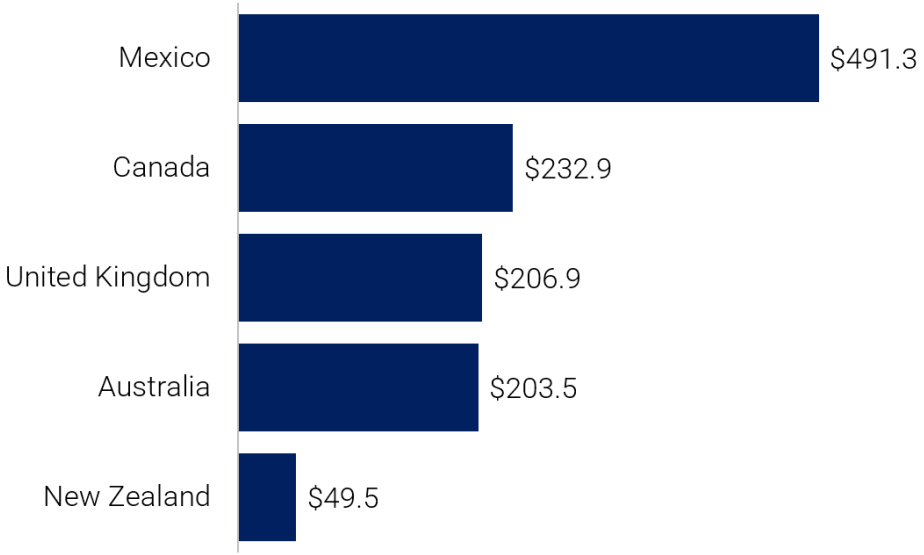
Anaheim and Garden Grove International Visitor Volume (2026)

thousands



Anaheim and Garden Grove International Visitor Spending (2026)

$ millions

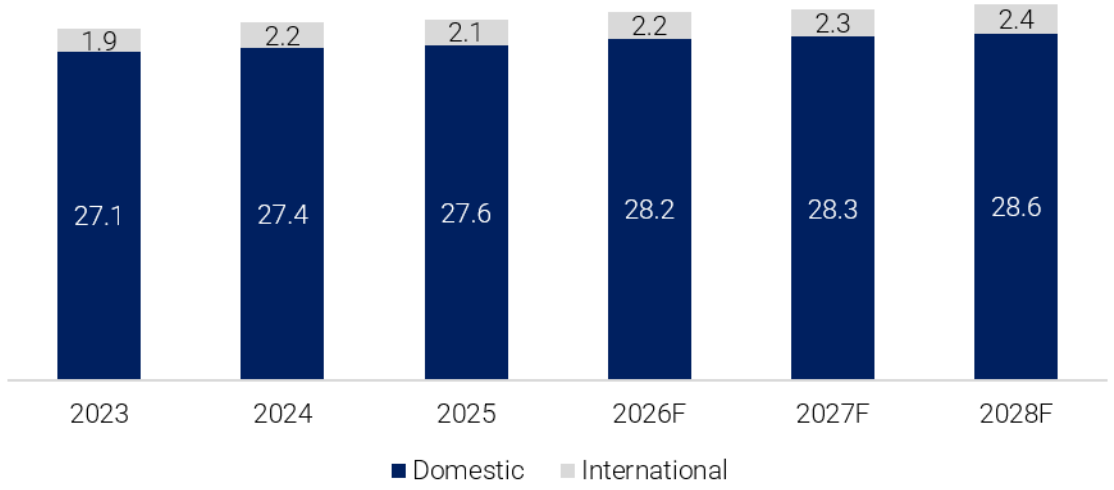


Anaheim and Garden Grove International Visitor Forecast

- International visitor volume is projected to reach 2.4 million by 2028, growing to 7.7% of total visitor volume in Anaheim and Garden Grove.
- International visitation is expected to grow 3.9% annually on average over the forecast period, outpacing the 1.1% average annual growth projected for domestic visits.

Domestic vs. international visitors in Anaheim and Garden Grove

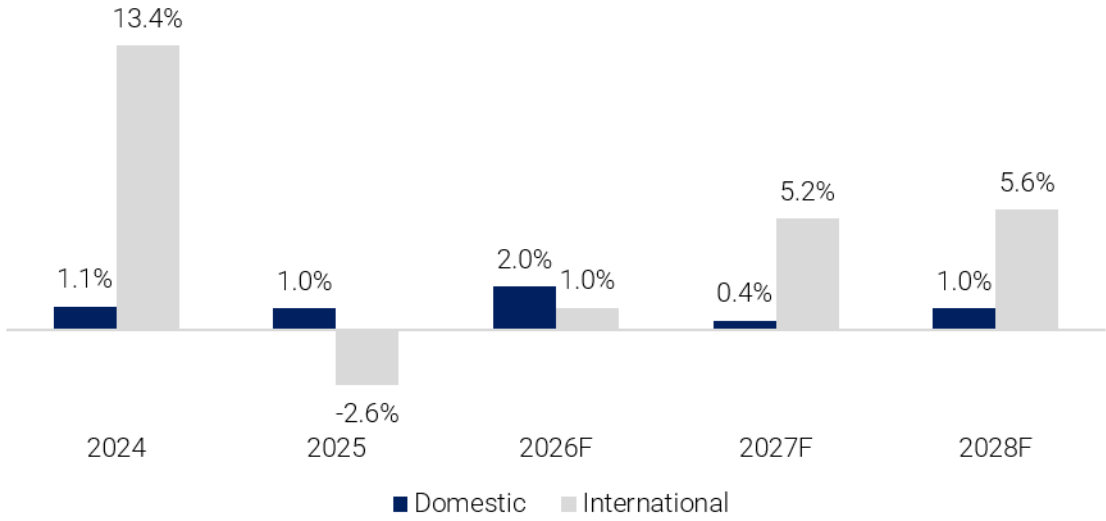
millions



Source: Tourism Economics

Percentage change in visitors to Anaheim and Garden Grove

year-over-year percent change



Source: Tourism Economics

Anaheim and Garden Grove International Visitor Forecast

Total international visitors to Anaheim and Garden Grove

	2023	2024	2025	2026	2027	2028
Total international visits	**1,936,130**	**2,195,805**	**2,137,945**	**2,159,658**	**2,272,393**	**2,400,647**
Mexico	649,699	729,324	766,116	819,078	836,241	856,962
Canada	343,128	323,380	254,038	255,137	264,011	275,521
United Kingdom	125,985	127,143	122,743	123,612	126,994	133,200
Australia	97,670	110,659	103,564	95,056	101,288	107,431
New Zealand	25,100	26,120	26,608	23,130	24,477	26,444
Rest of World	694,548	879,179	864,877	843,646	919,382	1,001,088
International hotel room nights	1,197,322	1,398,156	1,387,992	1,416,504	1,505,233	1,594,862

Source: Tourism Economics

Total international visitors to Anaheim and Garden Grove

year-over-year percent change

	2024	2025	2026	2027	2028
Total international visits	**13.4%**	**-2.6%**	**1.0%**	**5.2%**	**5.6%**
Mexico	12.3%	5.0%	6.9%	2.1%	2.5%
Canada	-5.8%	-21.4%	0.4%	3.5%	4.4%
United Kingdom	0.9%	-3.5%	0.7%	2.7%	4.9%
Australia	13.3%	-6.4%	-8.2%	6.6%	6.1%
New Zealand	4.1%	1.9%	-13.1%	5.8%	8.0%
Rest of World	26.6%	-1.6%	-2.5%	9.0%	8.9%
International hotel room nights	16.8%	-0.7%	2.1%	6.3%	6.0%

Source: Tourism Economics

Total international visitor spending in Anaheim and Garden Grove

$ millions

	2023	2024	2025	2026	2027	2028
Total international visits	**$2,430.5**	**$2,821.9**	**$2,739.6**	**$2,788.7**	**$2,972.1**	**$3,193.7**
Mexico	$359.0	$418.9	$446.8	$491.3	$503.6	$521.6
Canada	$305.5	$288.9	$228.6	$232.9	$241.1	$252.5
United Kingdom	$198.7	$204.5	$200.4	$206.9	$212.3	$224.2
Australia	$196.8	$225.1	$213.8	$203.5	$218.1	$234.9
New Zealand	$50.6	$53.1	$54.9	$49.5	$52.7	$57.8
Rest of World	$1,320.0	$1,631.4	$1,595.1	$1,604.5	$1,744.3	$1,902.7

Source: Tourism Economics

Total international visitor spending in Anaheim and Garden Grove

year-over-year percent change

	2024	2025	2026	2027	2028
Total international visits	**16.1%**	**-2.9%**	**1.8%**	**6.6%**	**7.5%**
Mexico	16.7%	6.7%	9.9%	2.5%	3.6%
Canada	-5.4%	-20.9%	1.9%	3.5%	4.7%
United Kingdom	2.9%	-2.0%	3.3%	2.6%	5.6%
Australia	14.4%	-5.0%	-4.8%	7.2%	7.7%
New Zealand	5.1%	3.4%	-9.9%	6.4%	9.7%
Rest of World	23.6%	-2.2%	0.6%	8.7%	9.1%

Source: Tourism Economics

About the Research Team

This study was conducted by the Tourism Economics group within Oxford Economics. Tourism Economics combines an understanding of traveler dynamics with rigorous economics to answer the most important questions facing destinations, investors, and strategic planners. By combining quantitative methods with industry knowledge, Tourism Economics designs custom market strategies, destination recovery plans, forecasting models, policy analysis, and economic impact studies.

Oxford Economics was founded in 1981 as a commercial venture with Oxford University's business college to provide economic forecasting and modeling to UK companies and financial institutions expanding abroad. Since then, we have become one of the world's foremost independent global advisory firms, providing reports, forecasts and analytical tools on 200 countries, 100 industrial sectors and over 3,000 cities. Our best-of-class global economic and industry models and analytical tools give us an unparalleled ability to forecast external market trends and assess their economic, social and business impact.

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